

INTERNAL AUDIT REPORT

Financial Transaction Audit | Report No. AR-02340

Report ID:	AR-02340
Audit Type:	Financial Transaction Audit
Report Date:	May 08, 2025
Audit Period:	2024-11-19 to 2025-04-23
Lead Auditor:	Emily Gonzalez (EMP-13940)
Reviewed By:	Dorothy Myers (EMP-11946)
Primary Vendor Reference:	BlueStar Procurement International (VND-04686)
Subject Employee Reference:	Amanda Solis (EMP-25967)
Primary Transaction Reference:	TXN-301505
Overall Risk Rating:	MEDIUM

1. EXECUTIVE SUMMARY

This financial transaction audit covered the period 2024-11-19 to 2025-04-23 and examined transactions, approvals, and compliance records associated with vendor BlueStar Procurement International (VND-04686) and employee Amanda Solis (EMP-25967). The audit identified 4 finding(s) requiring management attention, summarised in Section 3. The overall risk rating for this audit is assessed as **MEDIUM**.

2. SCOPE AND METHODOLOGY

The audit was conducted in accordance with the Internal Audit Charter and covered a sample of transactions processed through the Approval Workflow and Expense Claim systems. Testing included transaction tracing, approval limit verification, compliance record cross-referencing, and interviews with relevant process owners. Transaction ID TXN-301505 (amount 101,444.04 EUR) was selected as a key test item.

3. FINDINGS

Finding ID	Severity	Category	Description
FND-00118 1	MEDIUM	MISSING RECEIPT	Reimbursement of \$229,197 for Consulting was approved despite no receipt documentation in the system.
FND-00161 9	MEDIUM	APPROVAL LIMIT	Transaction processed with approval from an officer whose delegated authority was 13% below the required threshold.

Finding ID	Severity	Category	Description
FND-000992	MEDIUM	MISSING RECEIPT	Expense claim missing receipt. Policy POL-0013 requires receipts for all claims above \$50.
FND-003405	CRITICAL	MISSING RECEIPT	Reimbursement of \$62,124 for Training was approved despite no receipt documentation in the system.

4. EVIDENCE REFERENCES

Evidence ID	Source Type	Citation Reference	Alignment Score
EVI-000219	VENDOR RECORD	EVD-GZU-4895	0.88
EVI-000972	TRANSACTION RECORD	EVD-KEF-1418	0.77
EVI-002345	AUDIT REPORT	EVD-GFW-3804	0.90
EVI-002834	VENDOR RECORD	EVD-TVW-0199	0.80
EVI-004285	APPROVAL RECORD	EVD-HDJ-2188	0.89
EVI-006907	TRANSACTION RECORD	EVD-NAS-4437	0.87

5. RECOMMENDATIONS

- Restrict post-termination system access to prevent ghost-approver scenarios.
- Require compliance certificate verification as a system gate prior to payment release.
- Establish a quarterly reconciliation process between Purchase Orders and Vendor Invoices.

6. MANAGEMENT RESPONSE

Management partially agrees with the findings; a remediation plan has been submitted for review by the Audit Committee.

7. SIGN-OFF

Role	Name	Employee ID	Date
Lead Auditor	Emily Gonzalez	EMP-13940	2025-05-08
Reviewing Officer	Dorothy Myers	EMP-11946	2025-05-10